How Europe wants to fix its €1B-a-day trade deficit with China

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By Carlo Martuscelli · Jul 13, 2026, 5:43 PM · View in your browser

BRUSSELS — Trade negotiators from the European Commission and Beijing will engage in intense discussions over the next four months over how to narrow the EU's €1 billion-a-day trade deficit with China.

At a kick-off meeting last month between EU trade chief Maroš Šefčovič and his Chinese counterpart Wang Wentao, the two agreed to launch a joint trade consultation mechanism . The tool will include four workstreams covering trade and investment "balancing," export controls, intellectual property rights, and reform of the World Trade Organization.

Šefčovič is expected to hold a videoconference with Wang in early September before traveling to Beijing in October, when he hopes to present the "first tangible results."

Denis Redonnet, the Commission's top trade defense official, held a video call last Thursday with Chinese Vice Minister of Commerce Ling Ji. Redonnet will update the European Parliament's trade committee Tuesday on how the talks are going.

The discussions may lead nowhere, and a trade war can't be ruled out — but for now it appears that both China and the EU want to try to solve their trade differences amicably. Still, given the sheer size of the imbalance and the ongoing economic weakness in China, it's hard to see a solution that would work for both sides. Here's what we're watching:

Shopping spree

At the heart of the dispute is the €360 billion annual trade surplus — equal to €1 billion a day — that China runs with the EU. While Chinese firms are ramping up their exports to the single market, European exports to China are falling due both to cutthroat competition in China and a slowdown in consumer spending linked to the collapse of a property bubble.

Nowhere is that trend more visible than in the automotive market. Until 2024 the EU was a net exporter of cars and car parts to China, but in 2025 the bloc imported €22 billion worth from China while exporting just €16 billion.

European policymakers accuse Beijing of giving domestic producers an unfair leg up with government money. China says that's sour grapes, and that domestic businesses have leapfrogged their European rivals in technology.

Both sides recognize this will be a hard problem to solve.

There are two ways the trade deficit could narrow: Europe could start shutting out Chinese exports, or European businesses could export more to China.

European officials would love it if Chinese consumers started snapping up more made-in-Europe luxury bags or expensive wines and spirits. But China's household spending is currently in a slump.

Beijing could enact reforms to put more money in people's pockets, such as by upping welfare spending and slashing taxes. But that would require a disruptive reorientation of the economy toward consumers, and Beijing is unlikely to do so at Europe's behest.

That leaves Chinese companies — particularly manufacturers seeking advanced European equipment — as the most plausible source of additional imports.

According to one EU diplomat, who was granted anonymity due to the sensitivity of the talks, China has signaled interest in buying more high-tech goods, such as the machinery used to manufacture microchips. But while such purchases could make a meaningful dent in the trade deficit, the cutting-edge technology is also sensitive, and has dual civilian and military uses. And it is national capitals, not Brussels, that hold a veto over sensitive exports.

Loosening the stranglehold

The talks cover more than the trade imbalance: The two sides have also compiled market access lists, detailing rules and practices they believe shut them out of the other's market, according to the diplomat. They've also set up a tool to monitor surges in trade flows that is already up and running.

Beijing would like the EU to roll back legislation and rules it considers unfair and restrictive, including the bloc's proposed Industrial Accelerator Act and its revision of the Cybersecurity Act. Europe, in turn, would like easier access to China's government procurement market.

Policymakers in Brussels also want China to loosen its stranglehold on critical minerals , and have pushed for more transparent procedures and longer-lasting export licenses.

The two other workstreams — intellectual property and WTO reform — offer avenues to narrower agreements. On the WTO in particular, both sides see scope for targeted reform while wanting to preserve the multilateral trading order.

Keeping their powder dry

In the meantime, Brussels will keep working on ways to retaliate in case talks fail.

Commission President Ursula von der Leyen could use her State of the Union speech in September to preview new trade defense tools — such as a diversification instrument or new safeguards for the ailing chemicals industry .

The Commission has already fired a symbolic warning shot by opening an anti-dumping investigation into imports of Chinese Pekin duck meat — echoing China's previous duties on the European agri-food sector.

But Beijing has cards of its own to play. On Friday it announced an economically far more significant ban on exports of helium, a gas used in semiconductor manufacturing.

Camille Gijs and Koen Verhelst contributed reporting.

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